DRN-5990244

The complaint

Ms S is unhappy that U K Insurance Limited ("UKI") declined a claim under her home insurance policy.

What happened

Ms S made a claim to UKI on 11 January 2025 after her flat had been damaged by a water leak. She was living abroad at the time and had been since September 2024. She said her brother, Mr S, had been living in her flat for the last 18 months following the breakdown of his marriage. He'd left the flat on 23 December to spend the Christmas period with friends. The damage had been discovered by Ms S's neighbour.

UKI was concerned as the policy didn't provide cover if the property was unoccupied for 60 days or more. It appointed a loss adjuster to investigate the claim.

In summary the loss adjuster had the following concerns about Mr S's occupancy:

- Mr S hadn't been able to provide any evidence that he'd been living at the property for the 18 months before the leak;
- He had very high "*residency scores*" at his previous address.
- He'd used his previous address in recent credit applications.
- His bank statements and driving licence still showed him as resident at his previous address.
- Although Ms S had produced evidence of gas and electricity being used at the property, the amount used was more in line with someone staying there occasionally as opposed to living there.
- None of Mr S's belongings were damaged in the water leak.

UKI declined the claim on the ground that there was insufficient evidence that Mr S was living at the risk address. Ms S didn't accept this and referred her complaint to this service. Our Investigator recommended that the complaint be upheld. She wasn't persuaded there was sufficient evidence to say that the property was unoccupied. She thought UKI should reconsider the claim based on the remaining policy terms.

As UKI disagreed, the matter has been referred to me.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Ms S's policy says it doesn't cover "*Loss or damage when it has been more than 60 days since you last slept at your home on a regular basis (which doesn't include occasional visits or stays)".*

There's no doubt that Ms S had been absent from the property for more than 60 days. UKI seem to have accepted that the policy definition of "*you*" would extend to Ms S's family members. It declined the claim because it wasn't persuaded that her brother had been sleeping in the property on a regular basis while she was away.

I think it's worth explaining that insurers tend to see unoccupied properties as riskier, particularly when it comes to escape of water claims. If they provide cover for an unoccupied property, they'll often charge more. I don't think UKI's exclusion was an unreasonable one.

I can understand UKI's concerns that there wasn't any official evidence such as bank statements, a driving licence etc to support the fact that Mr S was living at the risk address. But the policy wording doesn't require it to have been his only residence – just that he was sleeping there regularly.

There's other evidence that I think supports Ms S's claim that her brother was staying in her flat. Ms S has provided her utility bills. I have disregarded the gas bills as they were based on estimated readings. In just over two months from May to July 2024 249 units of electricity were used. In a similar period up to 31 December 173 units of electricity were used and in the first two weeks of January 17 units were used. To my mind the drop in electricity usage in the late October to December period compared with May and June is consistent with the fact that Ms S had left the flat and only one person was living there. When Mr S went away on holiday, the consumption fell very sharply.

The electricity usage in the two-month period from October to December is just over half what would be expected for a one-bedroom flat with two people living in it according to the energy regulator's figures for average consumption. Mr S was away for some of this period and as a single person his electricity consumption would be expected to be less anyway. In addition, he didn't have to be sleeping there every night – just regularly. So I think the utility bills support Ms S's claim.

I also note that the loss adjuster reported that the property didn't appear to be fully furnished "*but was furnished with some evidence of habitation*".

On 13 January 2025 Ms S's neighbour messaged her asking "*When is your brother due back to the property?*". She answered "*Tomorrow*". The neighbour then advised her that there was no water at the property and they wouldn't recommend turning on the electricity. I think it's unlikely these messages were generated with the aim of persuading UKI that Mr S had been living at the property as at that stage his occupation hadn't been queried by UKI. I also find it unlikely that a neighbour would help Ms S to defraud her insurer. Taking the messages at face value they also support Ms S's case.

This is a finely balanced case but overall UKI hasn't done enough to persuade me that it's more likely than not that Mr S wasn't sleeping at the risk address regularly before the damage that is being claimed for happened. It follows that it wouldn't be fair and reasonable for UKI to rely on the unoccupancy exclusion to avoid liability for the claim. So I think it should reconsider the claim based on the remaining policy terms.

My final decision

For the reasons given above, I uphold this complaint and require U K Insurance Limited to reconsider Ms S's claim based on the remaining policy terms.

Under the rules of the Financial Ombudsman Service, I'm required to ask Ms S to accept or reject my decision before 2 April 2026.

Elizabeth Grant
Ombudsman